



INITIAL DRAFT MEMORANDUM

Tate Tanglewood

431-Unit Class A Multifamily
Houston, TX

March 2026

Confidential

EXECUTIVE SUMMARY



Forest Way Capital is evaluating a \$56,088,365 whole loan refinancing of Tate Tanglewood, a 431-unit Class A multifamily property located at 5880 Inwood Dr in Houston's prestigious Galleria/Uptown submarket. Constructed in 2016, the five-story mid-rise community comprises 367,461 rentable square feet averaging 853 square feet per unit and is managed by Dayrise Residential. The loan represents approximately 70.2% LTV against the Walker & Dunlop estimated value of \$79,754,953, with a going-in debt yield of 6.6% on in-place NOI. The investment thesis centers on four pillars: Houston's contracting supply pipeline with Class A deliveries forecast to decline 49% by 2027, a favorable loan basis of \$130,135/unit representing a 38.4% discount to comparable sale transactions averaging \$210,870/unit, operational momentum under Dayrise Residential with NRI trending upward, and the property's premier Galleria/Uptown location within the nation's fifth-largest metro. Proceeds will retire the existing \$52M Corebridge senior loan and \$2.265M Amerant credit line. The sponsor, Galium Capital, will maintain approximately \$27.8M of cash equity post-refinance. Based on a 36-month hold, the loan is projected to achieve an 8.08% IRR and 1.24x net multiple on an unlevered basis. On a leveraged basis IRR and net multiple are 14.11% and 1.41x respectively.

TRANSACTION OVERVIEW

Deal Parameters

Loan Amount	\$56,088,365	Estimated Value (BOV)	\$79,754,953
Loan \$/Unit	\$130,135	BOV Value \$/Unit	\$185,046
Max LTV	75.0%	BOV LTV	70.2%
Units	431	Rentable SF	367,461
Year Built	2016	Avg Unit Size	853 SF
Property Class	A	Stories	5
Submarket	Galleria/Uptown	Metro	Houston
Sponsor	Galium Capital	Management	Dayrise Residential
Closing Date	Apr 2026 (Refi)	Prior Purchase	\$75,000,000 (May 2021)
DY (In-Place)	6.6%	DY (Trended)	7.1%

Proposed Sources & Uses

Sources	% of Total	\$/Unit	Total
Senior Loan	100%	\$130,135	\$56,088,365
Total Sources	100%	\$130,135	\$56,088,365

Uses	% of Total	\$/Unit	Total
Senior Lender Payoff	93%	\$120,650	\$52,000,000
Payoff Existing Credit Line	4%	\$5,255	\$2,265,000
Estimated Closing Costs	1%	\$1,564	\$674,116
Senior Origination Fee	1%	\$1,301	\$560,884
Interest Reserve	1%	\$1,365	\$588,365
Total Uses	100%	\$130,135	\$56,088,365

INVESTMENT THESIS

1. Houston Supply Pipeline Contraction Favoring Class A Recovery

Houston is at or near the trough of its supply cycle. The sharp pullback in new construction, driven by tighter lending conditions, elevated costs, and oversupply overhang, creates a favorable forward environment for Class A assets. The Galleria/Uptown submarket pipeline is modest at 480 units, with the largest project (Hanover Tanglewood, 241 units) not delivering until May 2027.

Key data: *The total Houston market delivered 62,000+ units since 2023; pipeline is now at lowest since 2017 (13,000 under construction); Class A deliveries forecast to drop from 9,200 (2025) to 4,700 (2027) — a 49% reduction; Construction ratio for Class A falls below 1.0x from 2027 onward; Class A vacancy projected to decline from 10.9% (2026) to 8.6% (2030) — 230bp improvement; Galleria/Uptown submarket has only 480 units under construction.*

2. Favorable Basis Relative to Comparables and Replacement Cost

The FWC loan basis sits at a significant discount to recent comparable transactions in the Houston market and the most recent purchase price of the Property (\$75MM). This cushion provides meaningful protection against valuation risk and potential downside scenarios.

Key data: *FWC loan basis of \$130,135/unit vs sale comp average of \$210,870/unit — 38.4% discount; Total cost basis of \$190,406/unit (including in-place equity) still below comp average; Seven recent sale comps range from \$178,042/unit to \$273,876/unit;*

3. Operational Momentum and Management Transition

The transition to Dayrise Residential in early 2025 has stabilized operations and the property is showing upward momentum in net rental income. The internet rollout initiative provides an incremental revenue stream not fully reflected in trailing financials. Our underwriting assumes a more conservative additional revenue than what the sponsor anticipates receiving.

Key data: *Management transitioned to Dayrise Residential in early 2025 — NRI trending upward month over month; Property-wide tenant internet rollout in progress — 37% of units signed up, generating material net revenue; Subject occupancy of 92%+ outperforms Galleria/Uptown submarket at 87.5%; Subject vacancy of 7.66% (rent roll) well below comp set at 8.9% and submarket at 12.5%; Concessions at 1.0% — in line with comp set and below submarket average*

4. Premier Galleria/Uptown Location with Strong Demographics

Tate Tanglewood benefits from one of Houston's most desirable residential locations, with walkable access to upscale retail, dining, and entertainment at The Galleria and Uptown Park. Houston's underlying demand fundamentals — population growth of 1.2% per year, household formation of 1.5% per year, and major corporate relocations including Eli Lilly and Apple facilities — support sustained housing demand.

Key data: *Adjacent to The Galleria, Uptown Park, and major employment corridors; Near I-610 and I-10 providing connectivity to Downtown Houston and Energy Corridor; Houston MSA: 7.9M population, no state income tax, diversified economic base; 5-year employment growth forecast of 0.66% annually, outpacing national rate of 0.39%*

PROPOSED LOAN STRUCTURE – INSURANCE (NO BACKLEVERAGE)

Loan Amount	\$56,088,365 (whole loan)
Loan Type	Senior Loan — Refinance
Fixed/Floating	Floating
Max LTV	75%
Spread	SOFR + 350 bps
All-In Rate	7.2%
Origination Fee	1.0%
Exit Fee	1.0%
Term	3 + 1 + 1 Year Extensions
I/O Period	3 Years (Initial Term)
Annual I/O Debt Service	\$4,020,089
Going-in DSCR (I/O)	0.92

The proposed loan is a \$56.09MM floating-rate senior mortgage at SOFR + 350 bps with a 3+1+1 year term structure (3-year initial term with two 1-year extension options). Proceeds will be used to retire the existing \$52M Corebridge senior loan and the \$2.265M Amerant credit line, with the balance applied to closing costs. The sponsor will maintain approximately \$27.8M of cash equity post-refinance, reflecting continued alignment with the lender.



PROPERTY & MARKET OVERVIEW

Property Description

Tate Tanglewood is a 431-unit Class A multifamily community located at 5880 Inwood Drive in Houston's prestigious Tanglewood neighborhood within the Galleria/Uptown submarket. Constructed in 2016, the five-story mid-rise property features a mix of one-bedroom, two-bedroom, and three-bedroom floor plans averaging 853 square feet across 367,461 total rentable square feet. Units are designed with modern finishes including stainless-steel appliances, granite countertops, wood plank flooring, in-unit washers and dryers, and 11-foot concrete ceilings. Select units feature accent brick arch walls, two-story loft layouts, private yards, and garden tubs. Community amenities include a resort-style swimming pool, 24/7 fitness center, yoga and spin room, elegant clubhouse with co-working spaces, entertainment kitchen, game room, pet park, and outdoor gathering areas with grilling stations. The property is managed by Dayrise Residential, which assumed management in early 2025 and has been driving improved operational performance.

Unit Mix

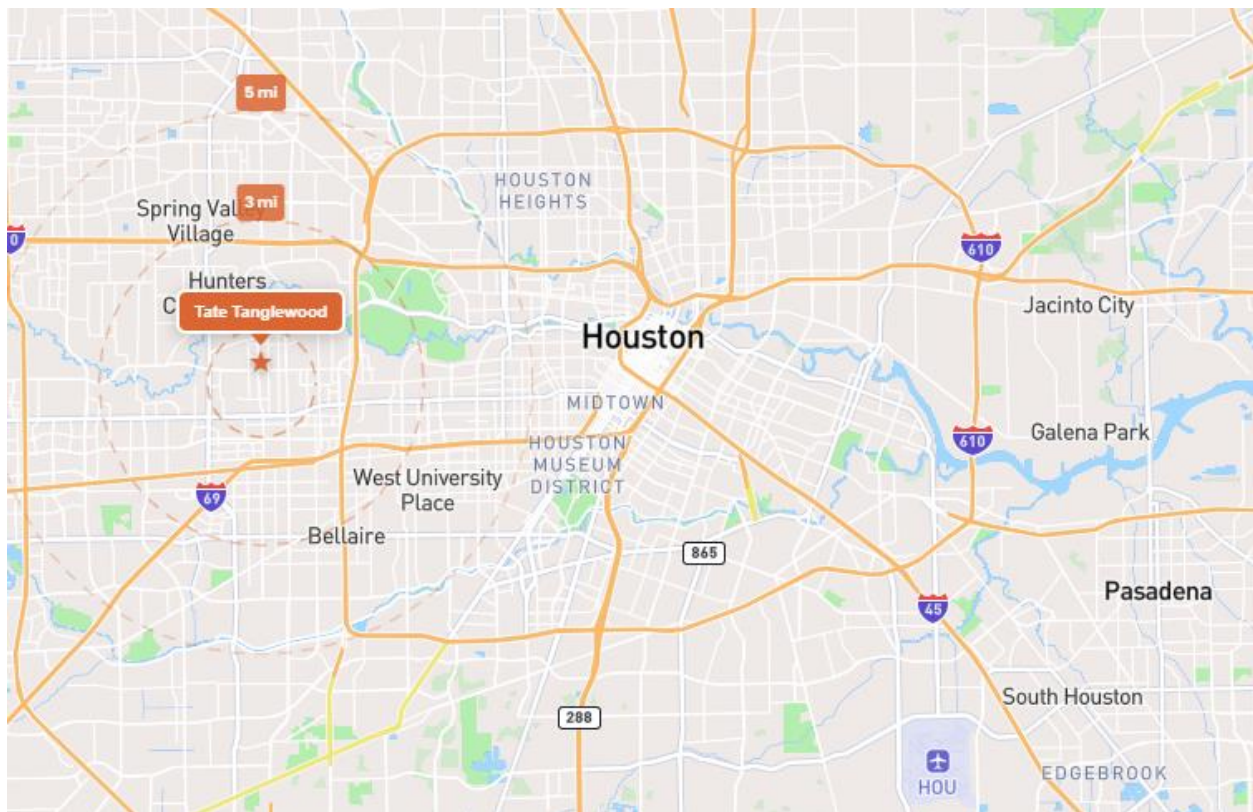
Unit Type	Units	Avg SF	In-Place Rent	Rent/SF	Vacancy
1 Bedroom	305	750	\$1,328	\$1.77	22 / 7.2%
2 Bedroom	114	1,073	\$1,674	\$1.56	6 / 5.3%
3 Bedroom	12	1,377	\$2,189	\$1.59	5 / 41.7%
Total / Wtd Avg	431	853	\$1,443	\$1.71	33 / 7.7%

Submarket Metrics — Galleria/Uptown

Galleria/Uptown Submarket Metric	Value
Total Inventory	24,641 units
Current Vacancy Rate	12.5%
Subject Vacancy (Rent Roll)	7.7%
Comp Set Vacancy	8.9%
12-Month Asking Rent Growth	-1.4%
12-Month Net Absorption	-2 units
Under Construction	480 units
Subject Concessions	1.0%

Houston Metro Market Context

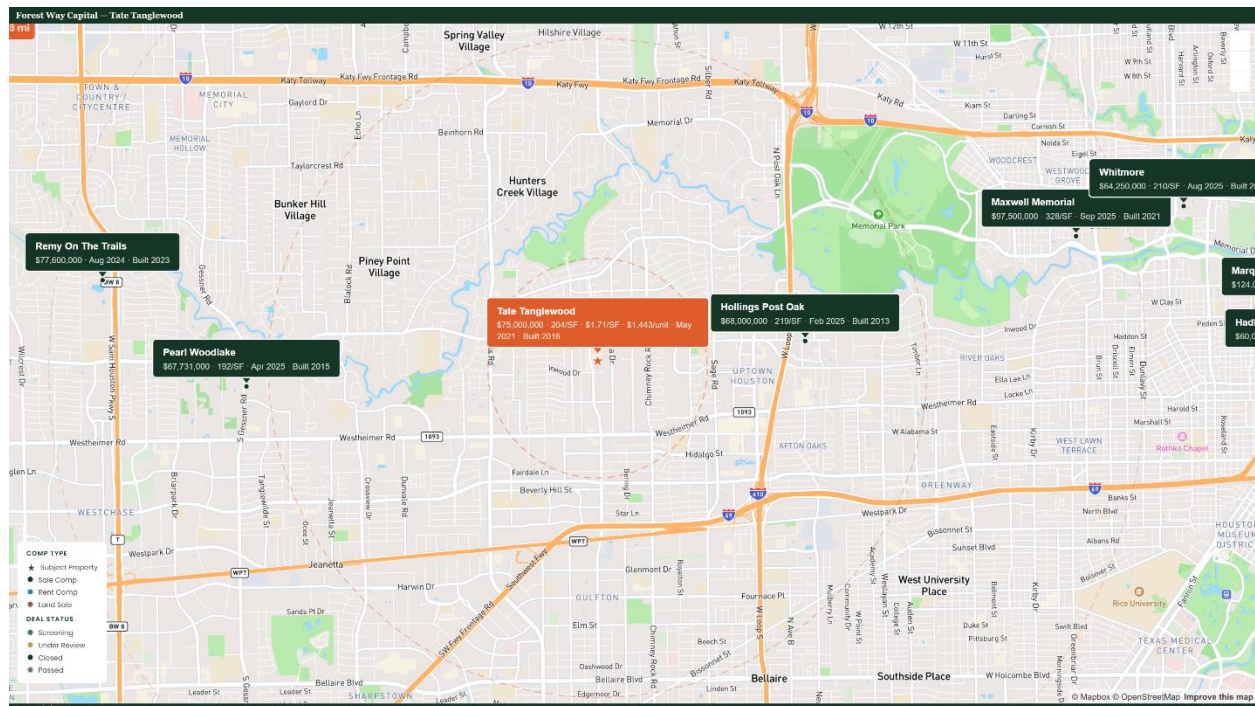
Houston's multifamily market is navigating one of the most challenging supply-demand environments in its history. As of Q1 2026, the metro-wide vacancy rate stands at 12.7%, a record high driven by 62,000+ units delivered since 2023. However, the pipeline has contracted to the lowest level since 2017 with only 13,000 units under construction. Class A (4 & 5 Star) properties posted 8,700 units of net absorption over the past 12 months, outpacing all other tiers. Class A vacancy is forecast to decline from 10.9% in 2026 to 8.6% by 2030, a 230 basis point improvement, as deliveries drop from 9,200 units (2025) to 4,700 units (2027). Rent growth is expected to return to positive territory in 2027 at approximately 1.3%, accelerating to 1.6-2.1% annually through 2028-2030. Houston's underlying demand fundamentals remain strong: the metro is home to 7.9 million residents, benefits from no state income tax, a diversified economic base spanning energy, healthcare, aerospace, logistics, and technology, and 5-year employment growth of 0.66% annually outpacing the national rate of 0.39%.



COMPARABLE TRANSACTIONS

Transaction	Year Built	Sale Date	Units	\$/Unit	\$/SF	Cap Rate
Pearl Woodlake	2015	Apr 2025	376	\$180,136	\$192	Not Disclosed
Remy On The Trails	2023	Aug 2024	330	\$235,152	\$255	4.6%
Hollings Post Oak	2013	Feb 2025	316	\$215,190	\$219	Not Disclosed
Maxwell Memorial	2021	Sep 2025	356	\$273,876	\$328	Not Disclosed
Whitmore	2014	Aug 2025	318	\$202,044	\$210	5.0%
Marquis Enclave	2007	Nov 2025	647	\$191,654	\$212	Not Disclosed
Hadley Midtown	1999	Jun 2025	337	\$178,042	\$209	Not Disclosed
FWC Loan Basis	2016	—	431	\$130,135	\$153	—
Comp Average		—	—	\$210,870	\$232	—

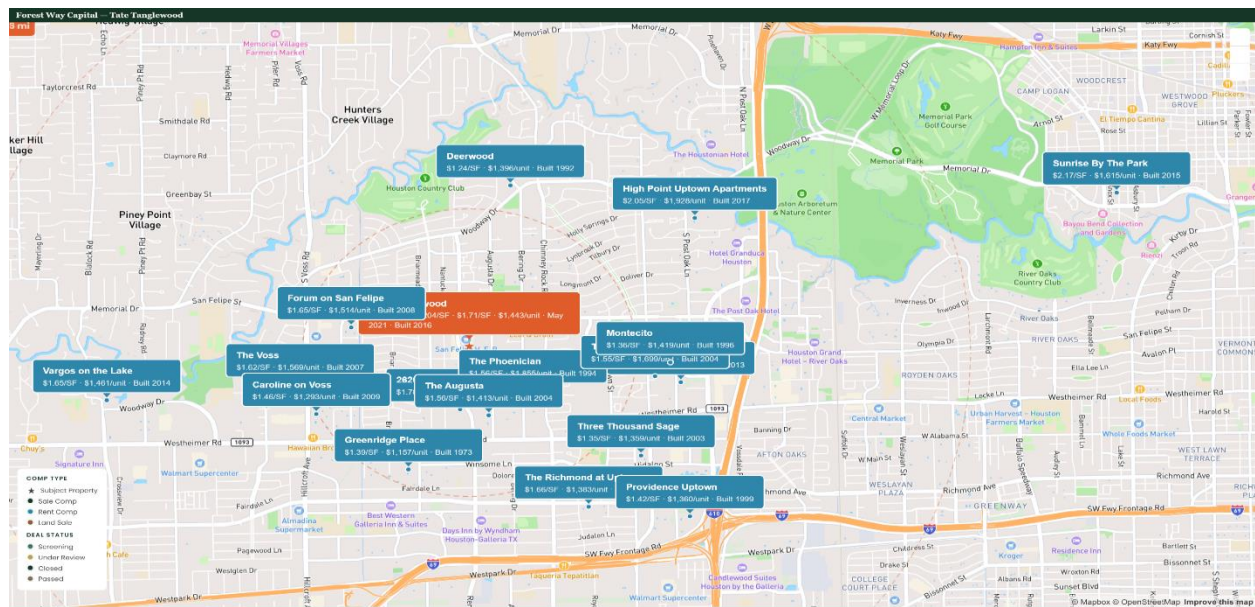
The FWC loan basis of \$130,135/unit sits 38.4% below the comparable transaction average of \$210,870/unit across seven recent sales in the Houston market (2024-2025). This discount provides a meaningful cushion against valuation risk. The subject's estimated value from the BOV (subject to an appraisal) of \$79,754,953 implies a value of \$185,046/unit, also below the comp average.



Rent Comps

Property Name	Vintage	Avg SF	Units	Occupancy	Rent/Unit	Rent/SF (ask.)
Sunrise By The Park	2015	745	180	60.6%	\$1,615	\$2.17
High Point Uptown Apartments	2017	940	277	93.9%	\$1,928	\$2.05
Caroline Post Oak	2013	1008	238	93.3%	\$1,831	\$1.82
2626 Fountain View	2015	863	281	91.8%	\$1,535	\$1.78
The Richmond at Uptown	2013	835	392	90.6%	\$1,383	\$1.66
Forum on San Felipe	2008	916	369	93.5%	\$1,514	\$1.65
Vargos on the Lake	2014	887	276	92.0%	\$1,461	\$1.65
The Voss	2007	967	376	92.3%	\$1,569	\$1.62
The Phoenician	1994	1189	264	90.9%	\$1,855	\$1.56
The Augusta	2004	908	312	95.5%	\$1,413	\$1.56
The Margot on Sage	2004	1097	346	90.5%	\$1,699	\$1.55
Caroline on Voss	2009	884	307	93.2%	\$1,293	\$1.46
Providence Uptown	1999	956	420	93.1%	\$1,360	\$1.42
Greenridge Place	1973	830	396	90.9%	\$1,157	\$1.39
Montecito	1996	1041	299	85.6%	\$1,419	\$1.36
Three Thousand Sage	2003	1008	324	93.5%	\$1,359	\$1.35
Deerwood	1992	1128	186	96.8%	\$1,396	\$1.24
Tate at Tanglewood	2016	853	431	92.3%	\$1,443	\$1.71
Average		953	308	90.5%	\$1,517	\$1.61
Average of Newer Vintage Comps		857	289	84.6%	\$1,634	\$1.91

The subject property at 5880 Inwood Dr., a 2016-vintage asset, is achieving \$1.71/SF, which is slightly above the overall competitive set, but below the 2013–2017 vintage assets which average \$1.91/SF. Given the asset is newer than the majority of the competitive set there is likely a ~5%–10%+ mark-to-market opportunity to push rents over time to be more in line with the assets of similar vintage. Should the sponsor be successful in achieving the same rents as these similarly aged assets over the next three years, the debt yield would be materially higher than what our underwriting assumes.



FINANCIAL ANALYSIS

Operating Assumptions

	\$/Unit	In-Place (Going In UW)	3-Years Trended
Gross Potential Rent	\$17,317	\$7,463,796	\$7,938,137
Other Income	\$2,136	\$920,467	\$936,868
Gross Potential Income	\$19,453	\$8,384,263	\$8,875,005
Vacancy / Credit Loss / Concessions	(\$1,645)	(\$708,888)	(\$773,968)
Effective Gross Income	\$17,808	\$7,675,375	\$8,101,037
Real Estate Taxes	\$3,702	\$1,595,702	\$1,662,935
Insurance	\$458	\$197,261	\$205,573
Electricity	\$259	\$111,515	\$116,214
Gas	\$8	\$3,594	\$3,745
Water and Sewer	\$500	\$215,478	\$224,557
Trash Removal	\$262	\$113,044	\$117,807
Utility Billing	\$73	\$31,525	\$32,854
Repairs & Maintenance	\$805	\$346,955	\$361,574
Payroll	\$1,650	\$711,150	\$741,114
Administrative	\$325	\$140,075	\$145,977
Advertising/Marketing	\$380	\$163,780	\$170,683
Management Fees	\$544	\$234,626	\$244,512
Reserves	\$250	\$107,750	\$112,290
Total Operating Expenses	\$9,229	\$3,977,624	\$4,145,217
Stabilized Net Operating Income	\$8,579	\$3,697,751	\$3,955,819
Operating Expense Ratio	—	51.8%	51.2%

RETURNS & EXIT ANALYSIS

Deal Return Summary – Insurance (no back-leverage assumed)

PROFIT	IRR	NET MULTIPLE
\$13,058,280	8.08%	1.24x

Underlying Leverage Summary

Underlying Loan Amount	\$39,261,856
% Underlying Advance Rate	70.0%
Spread	1.60%
Net Venture Investment	\$16,826,510
Underlying In-Place DSCR (I/O)	1.79
Underlying In-Place Debt Yield	9.4%

Deal Return Summary – Levered

PROFIT	IRR	NET MULTIPLE
\$6,661,296	14.11%	1.41x

Exit Assumptions

Hold Period	36 Months
Exit Cap Rate (on In-Place NOI)	5.3%
In-Place NOI at Sale	\$4,083,820
Exit Closing Costs	2.0%
Exit Closing Cost Amount	\$1,541,064
Asset Sale Price	\$77,053,203

RISK FACTORS & MITIGANTS

Risk Factor	Assessment	Mitigant
Houston Market Oversupply and Elevated Vacancy (12.7% metro-wide)	Elevated	Houston delivered 62,000+ units since 2023, but the pipeline has contracted to the lowest level since 2017. Class A deliveries are forecast to drop 49% by 2027. Vacancy is projected to decline from 12.7% to 11.3% by 2030. The Galleria/Uptown submarket has only 480 units under construction.
Negative Rent Growth Environment (-1.2% metro, -1.4% submarket)	Moderate	Subject property is outperforming with 1.2% YoY rent growth against negative metro and submarket trends. CoStar forecasts positive rent growth returning in 2027. FWC underwrites conservatively at 1.3% growth on in-place rents versus sponsor's 3.0%.
Submarket Net Absorption Negative (-2 units trailing 12 months)	Elevated	Subject vacancy of 7.66% substantially outperforms submarket (12.5%) and comp set (8.9%), indicating property-level demand resilience. Management transition to Dayrise Residential driving operational improvement. Class A 4&5 Star segment in Galleria/Uptown shows 9.8% vacancy with positive asking rent trends for the subject. Further, with new supply essentially troughing out we believe we will see an increase in absorption over life of the loan.
Sponsor Concentration in Houston Market	Low	Galium Capital manages \$750M+ AUM with a diversified portfolio across Florida, Texas, Maryland, South Carolina, Virginia, and Washington. Multiple Houston multifamily assets (Millennium High Street, Bayou on the Bend, The Rice, Forum on San Felipe) demonstrate market expertise.



DEBT SERVICE & DEBT YIELD RECOVERY

Current Debt Metrics

Current Debt Metric	Value
All-In Rate	7.2%
Annual I/O Debt Service	\$4,020,089
DSCR (I/O)	0.92
Debt Yield (In-Place)	6.6%
Debt Yield (Trended)	7.1%

Debt Yield Recovery Timeline

Scenario	Proj. NOI	Debt Yield	Vacancy
Today (In-Place / Going In UW)	\$3,697,751	6.6%	7.7%
Proforma Year 1	\$3,697,751	6.6%	7.7%
FWC Year 2 (Conservative)	\$3,747,254	6.7%	8.0%
FWC Year 3 (Conservative)	\$3,955,819	7.1%	7.0%

Our underwriting does not include the property being able to lift rents to the same level similar vintage assets are achieving but instead is more conservative and focuses on the historical performance of the asset. Additionally, the Sponsor implemented a new tech package as part of the capital improvements they have completed since their original acquisition. Their projections estimate that the tech package should bring in \$183,000 of additional annual income; however, our underwriting includes a more conservative \$71,000 of additional revenue. Outperformance in either of those sections would have a positive effect on debt yield recovery making the Sponsor's underwritten 7.5% debt yield achievable.

This document is confidential and intended solely for the use of the individual or entity to which it is addressed. Forest Way Capital makes no representations or warranties, express or implied, as to the accuracy or completeness of the information contained herein. Data sources: Walker & Dunlop Offering Memorandum (March 2026), CoStar Group (licensed to Walker & Dunlop LLC, March 2026), FWC Submarket Analysis Model (March 2026).